

Taiwan Semiconductor Manufacturing Co.

Benign competitive landscape & industry short supply underpin growth trajectory

Reiterate Rating: BUY | PO: 3,100 TWD | Price: 2,470 TWD

Solid sales navigate through GM dip in 2H26 on 2nm ramp

TSMC [reported strong 2Q26 results](#), guided 2Q26 sales at +12-15% QoQ and further lifted sales to 40%+ YoY in US\$, suggesting 11%+ QoQ in 4Q26 (vs. +8% seasonality) for steep 2nm ramp for Apple and AMD and 3nm strength from GPUs/ASICs refreshes. Despite dilution from overseas fabs and 2nm ramp and +28% HoH depreciation balanced favorable utilization/pricing, GMs is guided to stay resilient at 66% +/-1% in 3Q26.

Tech/scale leadership & undersupply lift '27-28 outlook

With its leadership in technology roadmap, manufacturing execution and customer trust, TSMC should keep its dominant share in front-end process and stay as major advanced packaging provider even with alternative solutions from its competitors fulfilling the supply/demand gap. To support diversifying AI drivers, we estimate it will grow front-end capacity on 3nm and below nodes 47% CAGR from '25-28 and expand its 2.5D/3D packaging offerings, requiring TSMC to meaningfully step up its capex in '27/'28 after raising '26 capex from US\$56bn to US\$60-64bn (vs. US\$41bn in '25). Even considering depreciation hike from aggressive investment, TSMC's sales could outgrow its CAGR guidance of 25% from '24-29 (BofA +33%) with GMs expanding to 67% by '28 factoring in 9%/20% wafer shipment/ASP uplift and mild back-end outgrowth on higher adoption.

Stock at mid-cycle supported by robust AI demand pipeline

Factoring in stronger business outlook on strong technology and scale leadership, extending AI demand visibility and firmer advanced/mature pricing outlook more than offsetting the near term margins dip, we lift our '26/'27/'28 EPS to NT\$110.2/153.2/182 (vs. NT\$106.78/153/178.13 prior). We reiterate our Buy rating with PO unchanged at NT\$3,100 on 20x '27E P/E. The share valuation is undemanding at 17x '27E P/E (vs. its long term 11-21x range) backed by 33%/40% sales/earnings CAGR in the next few years.

Estimates (Dec) (NT\$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	1,173,268	1,717,886	2,857,919	3,972,158	4,718,757
EPS	45.24	66.24	110.20	153.17	181.96
EPS Change (YoY)	39.9%	46.4%	66.4%	39.0%	18.8%
Consensus EPS (Visible Alpha)			79.97	159.67	199.95
Dividend / Share	18.00	22.00	24.00	24.00	24.00
Free Cash Flow / Share	33.55	38.66	67.82	93.39	126.04
ADR EPS (US\$)	7.04	10.62	17.12	23.79	28.27
ADR Dividend / Share (US\$)	2.80	3.53	3.73	3.73	3.73
Valuation (Dec)					
P/E	54.59x	37.29x	22.41x	16.13x	13.57x
Dividend Yield	0.729%	0.891%	0.972%	0.972%	0.972%
EV / EBITDA*	30.68x	23.20x	14.91x	10.76x	9.22x
Free Cash Flow Yield*	1.36%	1.57%	2.75%	3.78%	5.10%

* For full definitions of *IQmethod*SM measures, see page 15.

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Refer to important disclosures on page 16 to 19. Analyst Certification on page 13. Price Objective Basis/Risk on page 13.

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Timestamp: 16 July 2026 02:00PM EDT

17 July 2026

Equity

Key Changes

(NT\$)	Previous	Current
2026E EPS	106.78	110.20
2027E EPS	153.00	153.17
2028E EPS	178.13	181.96
2026E EBITDA (m)	3,989,367.9	4,083,248.5
2027E EBITDA (m)	5,662,101.1	5,658,939.3
2028E EBITDA (m)	6,495,806.6	6,603,232.3

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Stock Data

Price (Common / ADR)	2,470 TWD / 404.22 USD
Price Objective	3,100 TWD / 590.00 USD
Date Established	13-Jul-2026 / 24-Jun-2026
Investment Opinion	B-1-7 / B-1-7
52-Week Range	1,115 TWD-2,535 TWD
Market Value (mn)	1,989,995 USD
Market Value (mn)	64,052,954 TWD
Shares Outstanding (mn)	25,932.4 / 5,186.5
Average Daily Value (mn)	3,007 USD
Free Float	92.1%
BofA Ticker / Exchange	TSMWF / TAI
BofA Ticker / Exchange	TSM / NYS
Bloomberg / Reuters	2330 TT / 2330.TW
ROE (2026E)	43.0%
Net Dbt to Eqty (Dec-2025A)	-37.3%

iQprofileSM Taiwan Semiconductor Manufacturing Co.

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT\$ Millions)					
Sales	2,894,308	3,809,054	5,477,153	7,624,785	8,920,142
Gross Profit	1,624,354	2,281,294	3,654,584	5,107,101	5,989,971
Sell General & Admin Expense	(96,888)	(99,222)	(108,728)	(131,058)	(147,877)
Operating Profit	1,322,053	1,936,092	3,251,539	4,604,996	5,423,431
Net Interest & Other Income	83,786	105,574	195,028	181,827	263,268
Associates	NA	NA	NA	NA	NA
Pretax Income	1,405,839	2,041,666	3,446,566	4,786,823	5,686,699
Tax (expense) / Benefit	(233,407)	(326,266)	(589,232)	(817,495)	(971,303)
Net Income (Adjusted)	1,173,268	1,717,886	2,857,919	3,972,158	4,718,757
Average Fully Diluted Shares Outstanding	25,932	25,933	25,933	25,933	25,933

Key Cash Flow Statement Data					
Net Income	1,173,268	1,717,886	2,857,919	3,972,158	4,718,757
Depreciation & Amortization	662,797	688,096	831,710	1,053,944	1,179,802
Change in Working Capital	(143,010)	(72,100)	(98,157)	(169,601)	(63,286)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	133,123	(58,907)	155,002	77,356	95,369
Cash Flow from Operations	1,826,177	2,274,976	3,746,474	4,933,857	5,930,643
Capital Expenditure	(956,007)	(1,272,411)	(1,987,705)	(2,512,151)	(2,662,089)
(Acquisition) / Disposal of Investments	(58,000)	(37,014)	(59,179)	3,026	189
Other Cash Inflow / (Outflow)	149,164	165,031	118,284	(4,000)	1,931
Cash Flow from Investing	(864,843)	(1,144,393)	(1,928,601)	(2,513,125)	(2,659,970)
Shares Issue / (Repurchase)	(9)	(2)	(1)	0	0
Cost of Dividends Paid	(337,129)	(440,855)	(570,514)	(622,381)	(622,381)
Cash Flow from Financing	(346,301)	(440,345)	(577,519)	(624,257)	(622,960)
Free Cash Flow	870,171	1,002,565	1,758,769	2,421,706	3,268,553
Net Debt	(1,403,733)	(2,035,607)	(3,385,555)	(5,181,108)	(7,829,225)
Change in Net Debt	(556,872)	(647,079)	(1,247,470)	(1,798,352)	(2,648,292)

Key Balance Sheet Data					
Property, Plant & Equipment	3,234,980	3,691,841	5,058,473	6,595,644	8,000,659
Other Non-Current Assets	368,606	424,052	455,441	462,135	463,065
Trade Receivables	272,088	281,791	336,627	421,001	445,123
Cash & Equivalents	2,422,020	3,068,595	4,421,297	6,214,973	8,862,511
Other Current Assets	394,245	466,745	528,263	653,244	721,183
Total Assets	6,691,938	7,933,024	10,800,100	14,346,996	18,492,541
Long-Term Debt	958,429	896,062	887,047	884,597	884,290
Other Non-Current Liabilities	145,408	118,147	180,257	213,694	241,939
Short-Term Debt	59,858	136,926	148,695	149,268	148,995
Other Current Liabilities	1,204,667	1,321,094	1,682,253	1,737,804	1,782,535
Total Liabilities	2,368,362	2,472,229	2,898,251	2,985,363	3,057,760
Total Equity	4,323,576	5,460,795	7,901,849	11,361,634	15,434,781
Total Equity & Liabilities	6,691,938	7,933,024	10,800,100	14,346,996	18,492,541

iQmethod SM - Bus Performance*					
Return On Capital Employed	23.2%	28.4%	35.7%	36.6%	32.2%
Return On Equity	30.3%	35.4%	43.0%	41.4%	35.3%
Operating Margin	45.7%	50.8%	59.4%	60.4%	60.8%
EBITDA Margin	68.6%	68.9%	74.6%	74.2%	74.0%

iQmethod SM - Quality of Earnings*					
Cash Realization Ratio	1.6x	1.3x	1.3x	1.2x	1.3x
Asset Replacement Ratio	1.4x	1.8x	2.4x	2.4x	2.3x
Tax Rate (Reported)	16.6%	16.0%	17.1%	17.1%	17.1%
Net Debt-to-Equity Ratio	-32.5%	-37.3%	-42.8%	-45.6%	-50.7%
Interest Cover	NM	NM	NM	NM	NM

Key Metrics

* For full definitions of iQmethodSM measures, see page 15.

Company Sector

Semiconductors

Company Description

TSMC was founded in 1987 and is listed in Taiwan (2330TT) and the US (TSM/NYS). TSMC is the largest and global leader in integrated circuit (IC) manufacturing. As a build-to-order foundry, it provides a wide range of value-add activities: IC manufacturing, mask-making, IC design services, turnkey solutions, and process development. We attribute its success to its proven, winning business model, unparalleled scale advantage, optimized execution, and technology scope and depth. 5 shares = 1 ADR.

Investment Rationale

The ongoing semi content growth in mobile, rise of artificial intelligence (AI), and proliferation of Internet of Things (IoT) should result in sustainable upside in aggregate computing power globally. TSMC, as the leading contract manufacturer of semiconductor chips, is in a good position to capitalize. We are structurally positive on TSMC and expect it to sustain over 15% growth with rising FCF from 2026 onwards.

Stock Data

Shares / ADR	5.00
Price to Book Value	8.1x

Key Changes

(US\$)	Previous	Current
2026E EPS	16.59	17.12
2027E EPS	23.77	23.79
2028E EPS	27.67	28.27

3Q26 sales strength led by HPC/Apple strength; near term GM dip as 2nm ramps

TSMC reported 2Q26 sales growth of 12% QoQ, at the high-end of its guidance on HPC +20% QoQ more than offsetting smartphone seasonality. 2Q26 GMs reached 67.7%, up 150bps, driven by improving cost and better utilization. GMs expansion, operating leverage and Vanguard disposal gains lifted 2Q26 EPS to NT\$27.25 (vs BofAe/Street NT\$26.12/NT\$24.10).

Exhibit 1: TSMC 2Q26-3Q26 and 2026-27 estimates BofAe vs. street

We now forecast EPS for '26/27 to be NT\$110/153

	2Q26E				3Q26E				2026E				2027E			
	Actual	BofA Old	Street	BofAe	Old	Street	BofAe	Old	Street	BofAe	Old	Street	BofAe	Old	Street	
Sales (NT\$mn)	\$1,270,381	\$1,274,425	\$1,266,708	\$1,447,447	\$1,418,786	\$1,387,722	\$5,477,153	\$5,361,248	\$5,237,078	\$7,624,785	\$7,537,870	\$6,799,519				
Sales QoQ / YoY (%)	12.0%	12.4%	11.7%	13.9%	11.3%	9.6%	43.8%	40.8%	37.5%	39.2%	40.6%	29.8%				
Gross profit (NT\$mn)	\$860,311	\$863,158	\$849,936	\$961,703	\$962,286	\$914,273	\$3,654,584	\$3,611,271	\$3,462,494	\$5,107,101	\$5,191,707	\$4,591,511				
GMs (%)	67.7%	67.7%	67.1%	66.4%	67.8%	65.9%	66.7%	67.4%	66.1%	67.0%	68.9%	67.5%				
Operating profit (NT\$mn)	\$766,603	\$752,231	\$742,746	\$854,803	\$842,485	\$799,182	\$3,251,539	\$3,164,820	\$3,023,726	\$4,604,996	\$4,629,010	\$3,927,384				
OpMs (%)	60.3%	59.0%	58.6%	59.1%	59.4%	57.6%	59.4%	59.0%	57.7%	60.4%	61.4%	57.8%				
Pretax profit (NT\$mn)	\$862,430	\$846,056	\$769,508	\$887,585	\$876,903	\$826,557	\$3,446,566	\$3,358,573	\$3,146,407	\$4,786,823	\$4,808,447	\$4,071,758				
Pretax margins (%)	67.9%	66.4%	60.7%	61.3%	61.8%	59.6%	62.9%	62.6%	60.1%	62.8%	63.8%	59.9%				
Tax expense (NT\$mn)	-\$155,868	-\$168,729	-\$145,108	-\$148,588	-\$146,799	-\$136,541	-\$588,648	-\$589,518	-\$552,672	-\$814,665	-\$840,684	-\$698,710				
Tax rate (%)	18.1%	19.9%	18.9%	16.7%	16.7%	16.5%	17.1%	17.6%	17.6%	17.0%	17.5%	17.2%				
Net profit (NT\$mn)	\$706,562	\$677,327	\$624,400	\$738,997	\$730,103	\$690,016	\$2,857,919	\$2,769,055	\$2,593,736	\$3,972,158	\$3,967,763	\$3,373,048				
Net margins (%)	55.6%	53.1%	49.3%	51.1%	51.5%	49.7%	52.2%	51.6%	49.5%	52.1%	52.6%	49.6%				
EPS (NT\$)	\$27.25	\$26.12	\$24.10	\$28.50	\$28.15	\$26.76	\$110.21	\$106.78	\$100.13	\$153.17	\$153.00	\$129.26				

Source: BofA Global Research estimates, Bloomberg

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For 3Q26, we model TSMC's sales to +13.9% QoQ (vs. guidance of +12-15% QoQ in NT\$, BofAe was +11% QoQ) on further HPC strength and flagship smartphone builds. We expect a mild growth in its wafer shipment (BofAe +10%/-3% QoQ for advanced/mature nodes), balancing HPC demand strength and Apple's chipset builds for its new product launches and muted non-AI related demand. The blended ASPs strength (BofAe +10% QoQ) should be the key sales driver for 3Q26 with shipment mix continuing shifting toward advanced nodes. Factoring a 3-4% GMs dilution from 2nm ramp in 2H26 and higher depreciation due to aggressive capex in the past few years, we model 3Q26 GM to dip by 130bps QoQ to 66.4% (vs. BofAe prior/recent street 67.8%/68-70%).

Exhibit 2: TSMC 2026-28 estimates BofAe vs. street

We expect TSMC's 2027/2028 sales to grow at 39.2%/17% YoY

	2026E				2027E				2028E			
	BofAe	Old	Street	vs. street	BofAe	Old	Street	vs. street	BofAe	Old	Street	vs. street
Sales (NT\$mn)	\$5,477,153	\$5,361,248	\$5,237,078	5%	\$7,624,785	\$7,537,870	\$6,799,519	12%	\$8,920,142	\$8,811,967	\$8,443,887	6%
Sales QoQ / YoY (%)	43.8%	40.8%	37.5%		39.2%	40.6%	29.8%		17.0%	16.9%	24.2%	
Gross profit (NT\$mn)	\$3,654,584	\$3,611,271	\$3,462,494	6%	\$5,107,101	\$5,191,707	\$4,591,511	11%	\$5,989,971	\$5,973,990	\$5,538,599	8%
GMs (%)	66.7%	67.4%	66.1%	1%	67.0%	68.9%	67.5%	-1%	67.2%	67.8%	65.6%	2%
Operating profit (NT\$mn)	\$3,251,539	\$3,164,820	\$3,023,726	8%	\$4,604,996	\$4,629,010	\$3,927,384	17%	\$5,423,431	\$5,339,083	\$4,892,973	11%
OpMs (%)	59.4%	59.0%	57.7%	2%	60.4%	61.4%	57.8%	3%	60.8%	60.6%	57.9%	3%
Pretax profit (NT\$mn)	\$3,446,566	\$3,358,573	\$3,146,407	10%	\$4,786,823	\$4,808,447	\$4,071,758	18%	\$5,686,699	\$5,598,852	\$5,089,193	12%
Pretax margins (%)	62.9%	62.6%	60.1%	3%	62.8%	63.8%	59.9%	3%	63.8%	63.5%	60.3%	3%
Tax expense (NT\$mn)	-\$588,648	-\$589,518	-\$552,672	7%	-\$814,665	-\$840,684	-\$698,710	17%	-\$967,941	-\$979,399	-\$869,734	11%
Tax rate (%)	17.1%	17.6%	17.6%	0%	17.0%	17.5%	17.2%	0%	17.0%	17.5%	17.1%	0%
Net profit (NT\$mn)	\$2,857,919	\$2,769,055	\$2,593,736	10%	\$3,972,158	\$3,967,763	\$3,373,048	18%	\$4,718,757	\$4,619,453	\$4,219,459	12%
Net margins (%)	52.2%	51.6%	49.5%	3%	52.1%	52.6%	49.6%	2%	52.9%	52.4%	50.0%	3%
EPS (NT\$)	\$110.21	\$106.78	\$100.13	10%	\$153.17	\$153.00	\$129.26	18%	\$181.96	\$178.13	\$160.99	13%

Source: BofA Global Research estimates, Bloomberg

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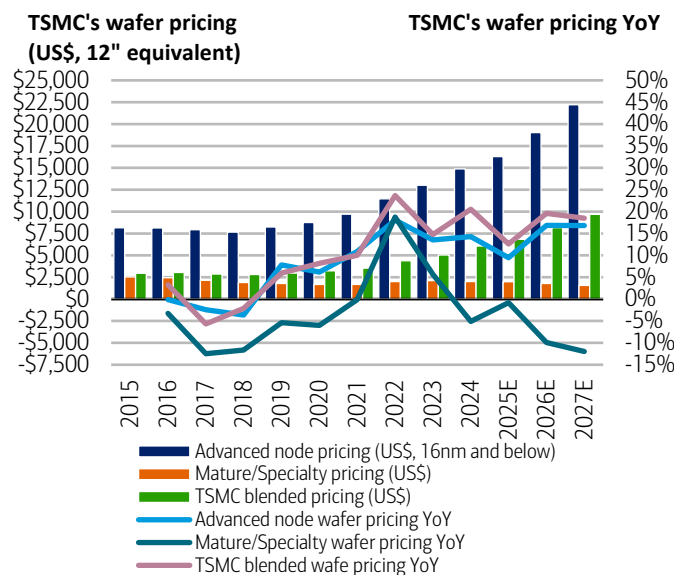
2026 sales outlook further raised amid HPC and high-end mobile refreshes

With solid demand pipeline into the year-end on long wafer processing and back-end packaging cycle time and its advanced node customers contributing 79% of its sales, the extending order visibility allows TSMC to further raise its 2026 full year sales outlook from 30%+ YoY growth to now slightly above +40% YoY. This implies 4Q26 sales will need to grow 11%+ QoQ which we believe is driven by a combination of stronger Apple's chipset inventory builds on 2nm this year on the expectation of better sell through, supplemented by still ramping GPUs and ASICs migrating to more advanced nodes lifting both volume and pricing.

While GMs upside could be capped in the near term as we estimate 2nm ramps from 3% of its sales in 2Q26 to ~10%/15-20% in 3Q/4Q26 and the most steep +28% HoH depreciation hike since 2H23 when 3nm started contributing, we believe the positive offsets from high advanced node utilization and favorable pricing and FX should keep its GMs resilient at 66% levels in 2H26. With still wide supply/demand gap and inflationary cost pass through, we expect TSMC should raise its advanced node and packaging pricing by another 5-10% in the beginning of 2027, lifting its GMs to 67% % in 2027.

Exhibit 3: TSMC's wafer pricing by advanced vs. mature nodes

TSMC's wafer pricing by advanced vs. mature nodes

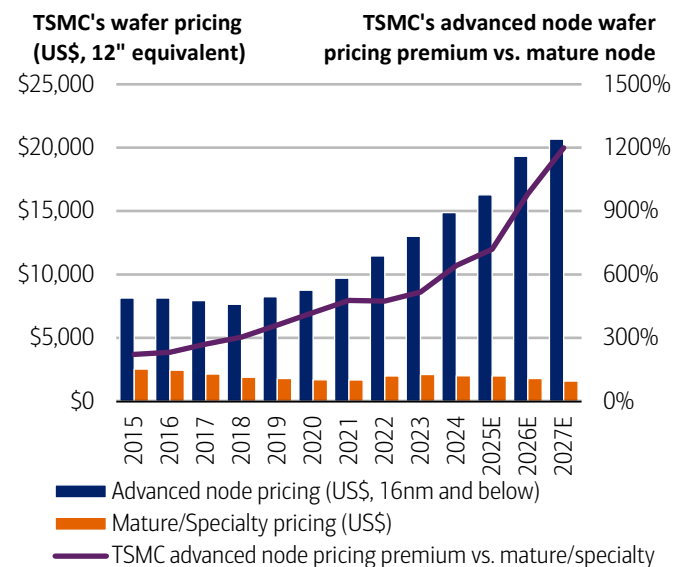


Source: BofA Global Research estimates

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Exhibit 4: TSMC's wafer pricing gap for advanced vs. mature nodes

TSMC's advanced node pricing is now 9x higher than mature ones



Source: BofA Global Research estimates

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Solid technology roadmap and execution easing competition concern

On top of better business outlook through 2030 and aggressive capacity expansion to support customers' demand, TSMC provided clarity on the competitive landscape across front-end manufacturing and back-end packaging. Specifically, while Intel and Samsung have been more aggressively on the advanced node push, TSMC sees high barriers across customer trust, manufacturing and technology, as it takes 5-7 years to co-develop technologies and products with its customers, assess capacity build through top down and bottom up approaches and finally ramp the leading edge process into high volume production.

To address its customers' requirements across the spectrum, the company is pursuing a dual track strategy for its front-end manufacturing, advancing the solution for both its consumer and HPC customers. The nodes targeted for consumer chipsets requiring cost

power efficiency and IP reuse will be introduced on an annual basis to match its customers' yearly product launch schedule. For the HPC applications, the company targets to roll out a new node with biennial cadence, supporting major leaps in performance, transistor density and power density.

Exhibit 5: TSMC/ Intel/Samsung's technology roadmap

TSMC targets to roll out a new node for HPC with biennial cadence, supporting major leaps in performance

Company	End Market / Segment	2023	2024	2025	2026	2027	2028	2029
TSMC	Data Center	N4P & N4X		N3X & N2	N2P & A16	N2X		A12
	High-end consumer/mobile	N3	N3E	N3P & N2	N2P		N2U & A14	A13
	Automotive		N5A		N3A			
	Mainstream		N4P	N4C	N3C		N2U	
Intel Foundry	Data center and high-end client	3	3	3 & 18A		18A-P		14A & 14A-E
	Mature	16	16-E		Intel/UMC 12			
Samsung Foundry	Data Center	SF4P	SF4X				SF2X	SF2Z
	High-end consumer/mobile	SF4P	SF3	SF2	SF2P	SF2P+		SF1.4
	Automotive	SF5A		SF4A		SF2A		
	Mainstream			SF4U				

Source: BofA Global Research

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This is evidenced in its N2 family and below nodes, with N2U ramping in '28 for mobile applications and A13 node in '29 which will be backward compatible to A14. It will also have A12 node in '29 integrated SPR to address power integrity and current delivery constraint suitable for AI/HPC systems. The strategy along with the continued expansion of the derivative offerings for main nodes should position TSMC well to defend its market share with its competitors claiming their progress on the advanced manufacturing.

Specifically, Intel's 18A has been in mass production since 4Q25 for its Panther Lake and Clearwater Forest chipsets though yield will not be fully fine tuned until 1Q27 at 25-30k WPM capacity scale in its Oregon and Arizona fabs. The follow-on derivative technology, 18A-P, has recently started risk production featuring 9% performance gains though may not enter into mass production until 2027 at the earliest.

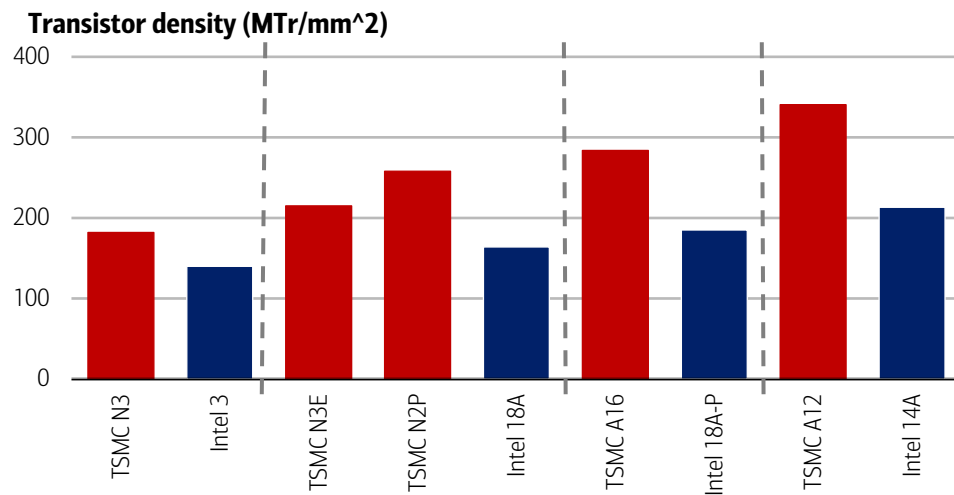
Longer term, Intel's next major upgrade will be on 14A which is guided to start risk production in 2028 for commercialization in 2029. It is important to note A14 will be the first major node Intel provides with its external foundry customers and 0.9 PDK is targeted to be shipped in 4Q26.

For Samsung, at its recent SAFE Forum in 2Q26, the company reaffirmed four generations of 2nm roadmap, including SF2 which has been in production since 2025, SF2P in 2026, SF2P+ in 2027-28 and SF2X (no firm date). Notably, the previously announced derivative technologies, including SF2Z featuring backside power for HPC applications and SF2A for automotive applications, were not included in its latest roadmap which should be folded as part of its SF2P+ offerings. With a modest delay for its 2nm progress, the company also pushed out its SF1.4 mass production to 2029 (vs. original 2027).

On the capacity and yield planning for its advanced nodes, Samsung noted its SF2 yield is still at 50-60% levels but confirmed its SF2P+ tooling has been in installation through 2026 for mass production in 2027 in its Taylor fab. Its capacity expansion in the US along with the existing 20k WPM capacity on SF2 in Korea put the company's capacity installed base on the node at 35k WPM by the end of 2027.

Exhibit 6: TSMC & Intel's transistor density comparison

Transistor density gap could be even widened to ~50%/~60% for TSMC's upcoming A16/A12 nodes when comparing with Intel 18A-P/14A



Source: BofA Global Research

BofA GLOBAL RESEARCH

Based on the capacity planning and technology roadmap, we believe TSMC retains the leadership through its roadmap and yield execution and scale. Specifically, the company's transistor density has been outperforming by ~30% for its N3/N3E vs. Intel 3/18A. With similar production timing and targeted applications, we estimate the transistor density gap could be even widened to ~50%/~60% for TSMC's upcoming A16/A12 nodes when comparing with Intel 18A-P/14A.

In addition to delivering superior specs on the power, performance and area, TSMC's execution reliability has become self-reinforcing: superior yield and on-time delivery on the leading-edge technologies win customer trust. The profitable business opportunity then translates the cash flow to fund the next leg of capex cycle required for further technology and capacity lead. In contrast to TSMC's 150-200k+ WPM capacity scale on every major node at mature yield, Samsung and Intel running their business at 15-20% of the company's scale at 60-70% yield is not sufficient to meet their own demand nor the stringent requirement from the external customers especially as the opportunity cost gets higher on the advanced manufacturing.

We would also point out the dual/multi sourcing on the front-end manufacturing is also much more challenging and inefficient for high performance computing chipsets with large size and complex integration of the functions vs. the consumer applications. The multi-year product roadmap visibility from its customers reinforces TSMC's confidence in the long-term demand profile and capacity planning.

Notably, while TSMC welcomes additional flexibility on the packaging solutions from its competitors due to extremely tight supply and potential shortage could constrain its customers growth, it sees *"front-end wafer and back-end business are two different things"*, suggesting limited competition risk on the front-end manufacturing on the leading-edge processes.

Capex further raised for '26 and toned even more aggressively for '27-28

TSMC's capex guide for '26 is lifted again from US\$56bn to US\$60-64bn on stronger AI demand and equipment cost inflation with similar mix of spending (70-80% advanced front-end, 10% specialty, 10-20% packaging and others). To show its determination in supporting strong AI megatrend across GPUs, ASICs and CPUs, it pledges to spend "even more significantly higher from '26-28 than '23-25 (vs. its prior comment "significantly

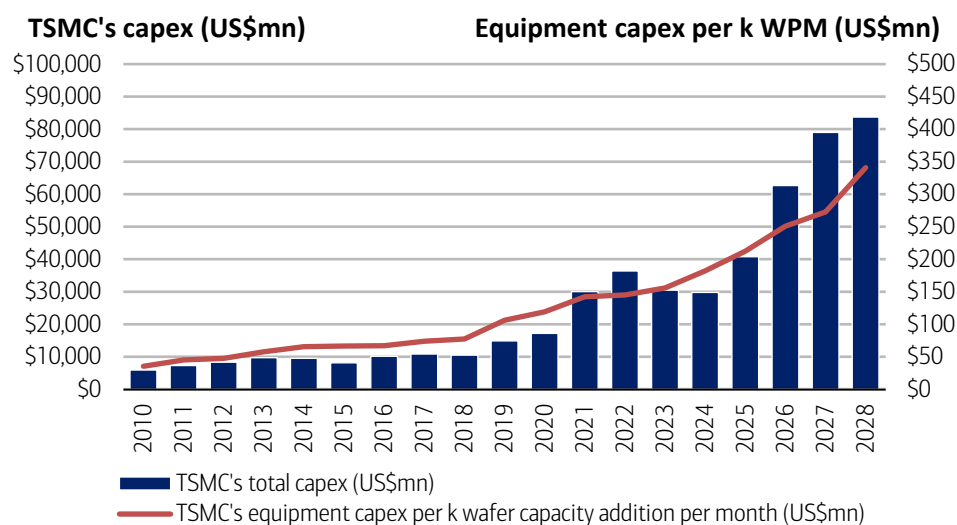
higher”), including raising its US investment to US\$265bn (vs. US\$165bn prior) to support its expansion globally on 3nm, 2nm and A14 and back-end capacity in the next few years.

In addition to the earlier tool pull-in schedule due to tighter equipment supply with memory makers expanding and equipment suppliers’ price hike, we believe the fast-growing capex should reflect the rising cost per 1k WPM on the advanced nodes vs. mature nodes, with the equipment cost per 1k WPM advanced wafer capacity expansion has grown from US\$156mn in 2023 to US\$241mn in 2025. Even factoring in more common use of equipment on the advanced nodes, the capex/1k WPM advanced capacity could further rise by 20% to US\$289mn in 2027 with the technology architecture upgrade.

On top of the investment in the core front-end manufacturing, we expect the company to slightly outspend in the back-end packaging and estimate it is at the upper half of its guidance for 10-20% total capex, mainly for more aggressive capacity expansion to meet its customers’ demand.

Exhibit 7: TSMC’s total Capex vs. equipment spending per k WPM capacity addition

TSMC spend 1-2x more on 1k WPM expansion due to its shift to advanced nodes in recent years



Source: Company Data, BofA Global Research estimates

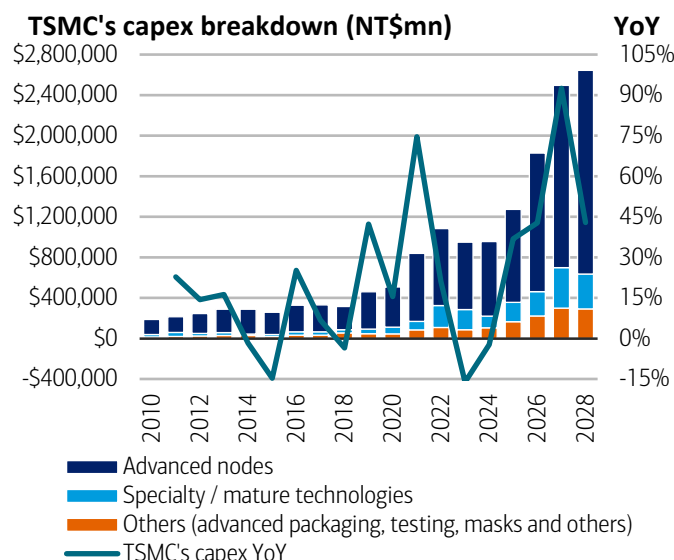
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Considering the capex required for further 3nm capacity expansion in the additional phases in its Tainan megafab, Arizona and the recently announced 2nd fab in Kumamoto on strong AI/HPC/automotive demand, ramping scale for 2nm family including A16, R&D on A14 supplemented by multiple back-end packaging technologies in progress (e.g. CoWoS, CoPoS, SoIC, WMCM) and lower capex efficiency in its US operation, our bottom-up model shows TSMC’s capex could be US\$78bn/US\$83bn in 2027/28, lifting TSMC’s capex from ‘26-28 to US\$220-230bn.

While the surge in capex hike could lead to concern on accelerating depreciation, we estimate it will only grow at 20% CAGR from 2026-28 due to modestly higher portion of the spending towards facility and clean room with much longer depreciation cycle than equipment. This should keep the depreciation still undergrowing its sales of +33% CAGR, sustaining GMs expansion to ~67% by 2028.

Exhibit 8: TSMC Capex spending breakdown by technology

TSMC spends the most on advanced front-end but packaging is outgrowing

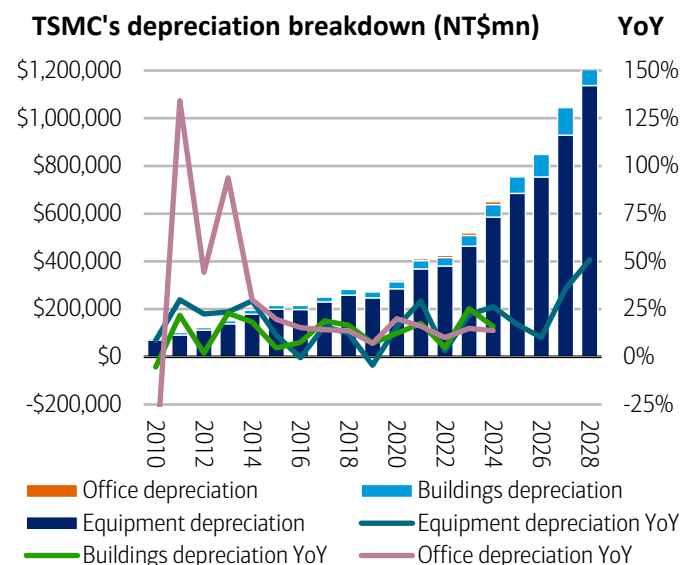


Source: Company Data, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 9: TSMC's depreciation trend

TSMC's depreciation growth will be led by equipment



Source: Company Data, BofA Global Research estimates

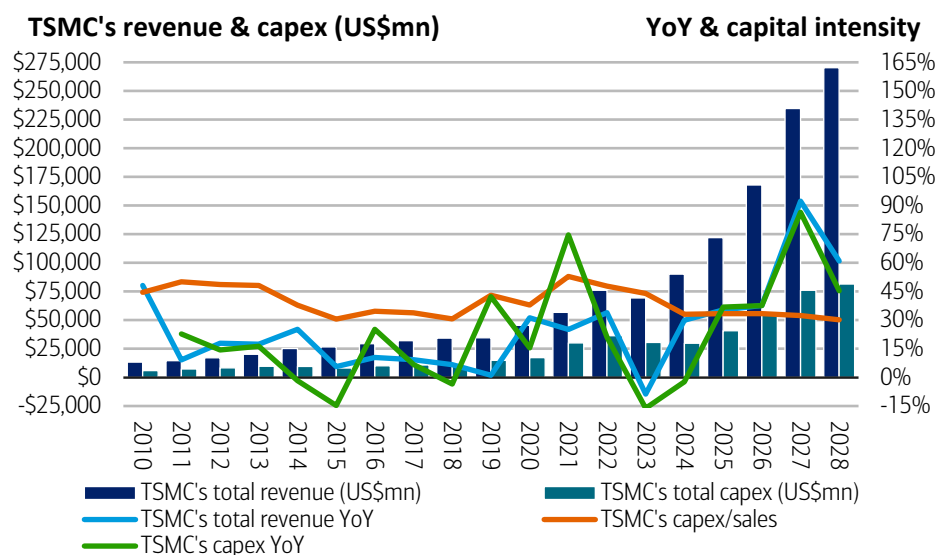
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Solid operating cash flow sufficient to fund rising capex and dividend

TSMC's operating cash flow-generation capability has been strengthening since 2020 on growing scale and improving profitability with the level up by 2x from ~US\$20bn per annum during 2015-19 to US\$73bn in 2025 and could grow to ~US\$120bn in 2026 based on its upbeat sales and margins guidance, more than sufficient to fund the capex spending.

Exhibit 10: TSMC's revenue and Capex trend

TSMC's sales should still outgrow Capex to keep its capital intensity manageable



Source: Company Data, BofA Global Research estimates

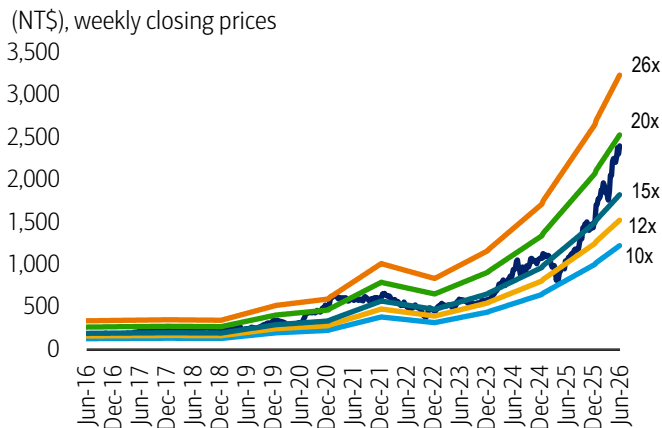
BofA GLOBAL RESEARCH

The company also keeps its capex/operating cash flow well managed at 53%, the low end of its 10-year range of 53-80% even with rounds of capex hike and could be at similar range even based on our aggressive capex assumptions for 2027-28.

TSMC valuation reasonable and has room to re-rate with its HPC customers

Exhibit 11: TSMC's P/E valuation band

TSMC's share at 17x '27E P/E is undemanding



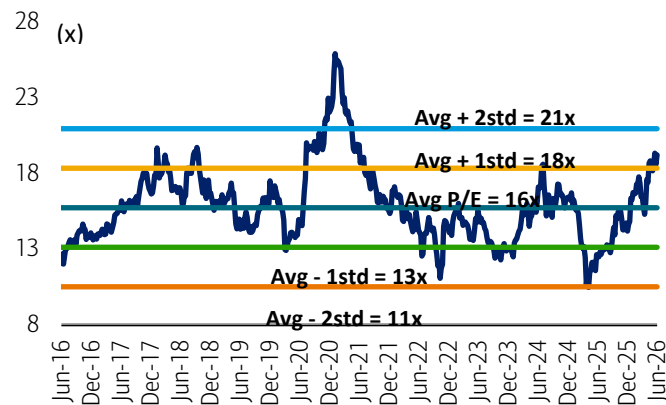
Source: BofA Global Research estimates, Bloomberg

BofA GLOBAL RESEARCH

TSMC's current valuation remains well supported when viewed through both its historical context and its relative positioning vs. its customers. In the past decade, TSMC's forward P/E has averaged ~16x with a range of 11-21x through the cycles.

Exhibit 12: TSMC's valuation based on BofA estimates

TSMC's valuation of 17x '27E P/E is at the middle of its historical 11-21x range

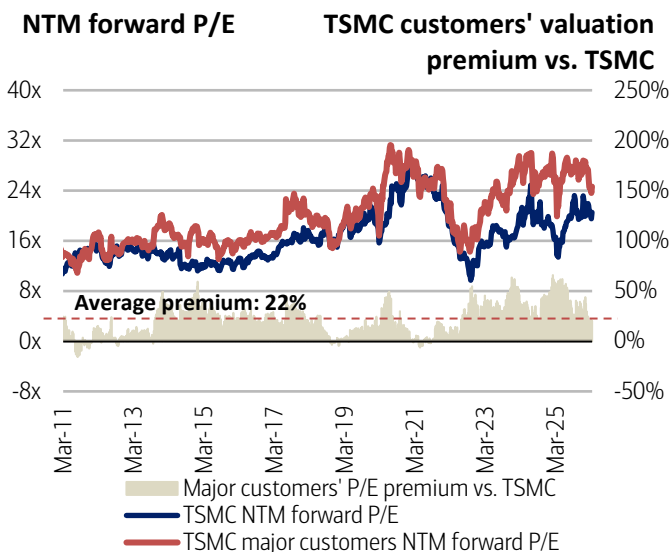


Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 13: TSMC's P/E trend vs. its customers

TSMC customers' P/E is now at 50% premium to TSMC vs. 22% average



Source: BofA Global Research, Bloomberg

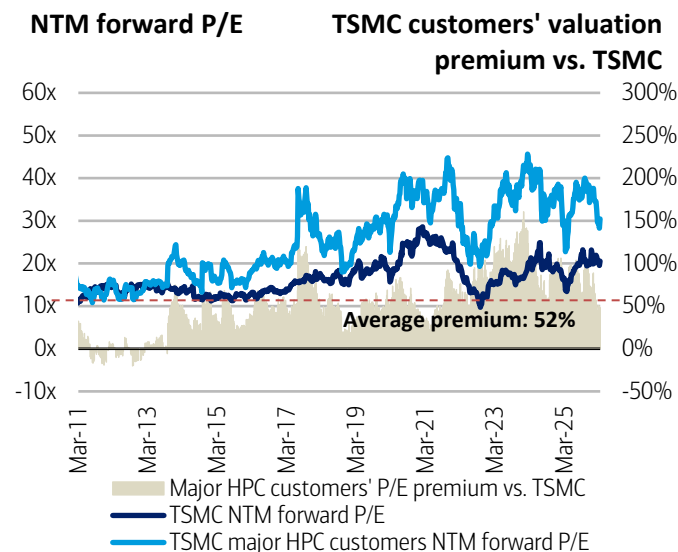
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The relatively more modest valuation improvement for TSMC also contrasts with its customers' more pronounced re-ratings. Based on our analysis of forward P/E spreads, TSMC's major customers usually have a 22% average premium vs. TSMC in the long term though the current level is at 45%, suggesting TSMC's valuation has been lagging.

Specifically, the valuation deviation for TSMC's HPC customers vs. the company has widened with 100-150% valuation premium vs. TSMC at this stage (vs. historical average of 52%). We believe this is driven by a surge in valuation for the direct beneficiaries from AI data center deployment, including the companies designing GPUs, ASICs and networking chipsets.

Exhibit 14: TSMC's P/E trend vs. its HPC customers

HPC fabless are the main driver for valuation premium at 100%

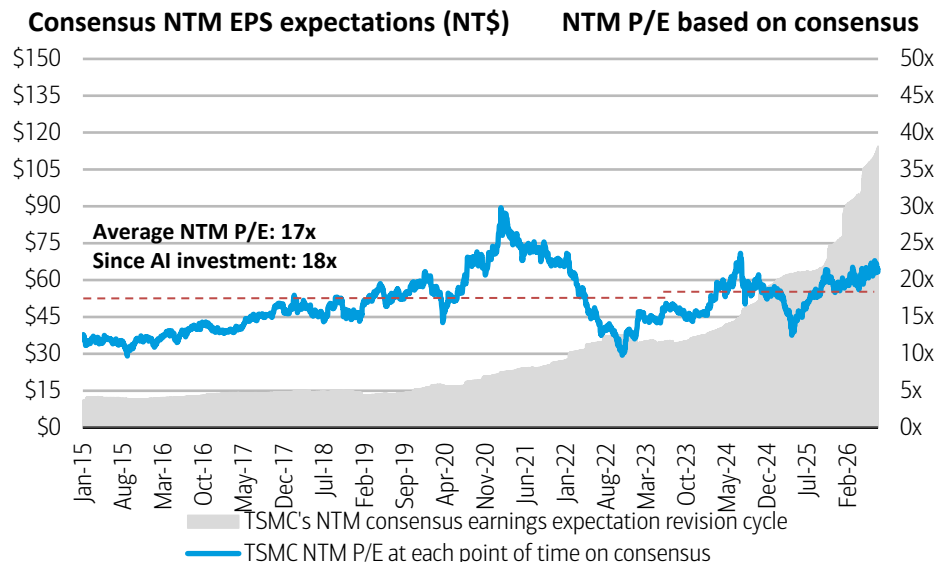


Source: BofA Global Research, Bloomberg

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Exhibit 15: TSMC's consensus earnings vs. P/E trend

TSMC's share price strength only driven by earnings upgrade so far



Source: BofA Global Research, Bloomberg

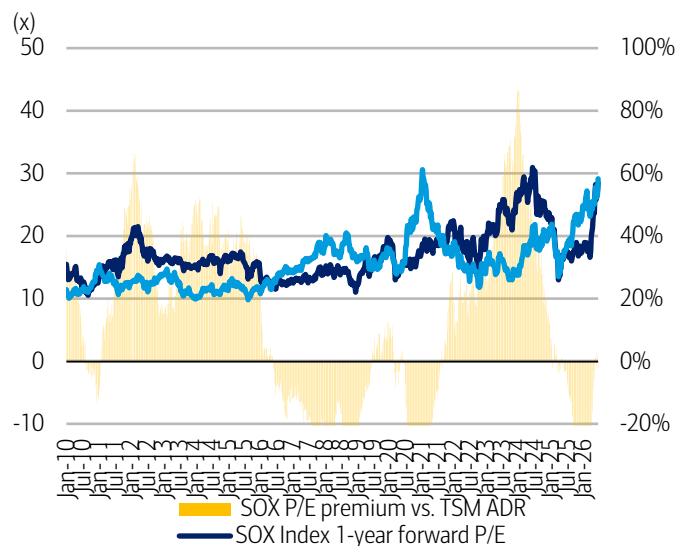
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It is also noteworthy that, while TSMC's share performance since 2H23 has been solid, it is predominantly driven by the earnings upward revisions rather than multiple expansion. The company's NTM P/E has remained largely stable, only lifted to 18x in the past 2 years vs. its long-term ~17x levels. The company's ADR though has been performing better as it attracts a broader investor base vs. common share, with its premium still at 19% (vs. the long term average 8%) and at 21x 2027 consensus P/E.

With its firmer technology leadership, this should bode well for the company's earnings upgrade cycle and its share should also be re-rated at least 20x NTM P/E (24x P/E for ADR factoring the premium), back closer to its customers and the broader ecosystem.

Exhibit 16: TSM ADR 1-year forward P/E vs. SOX premium

SOX index P/E following recent rally is back to 3% premium vs. TSM ADR, in line with long term average

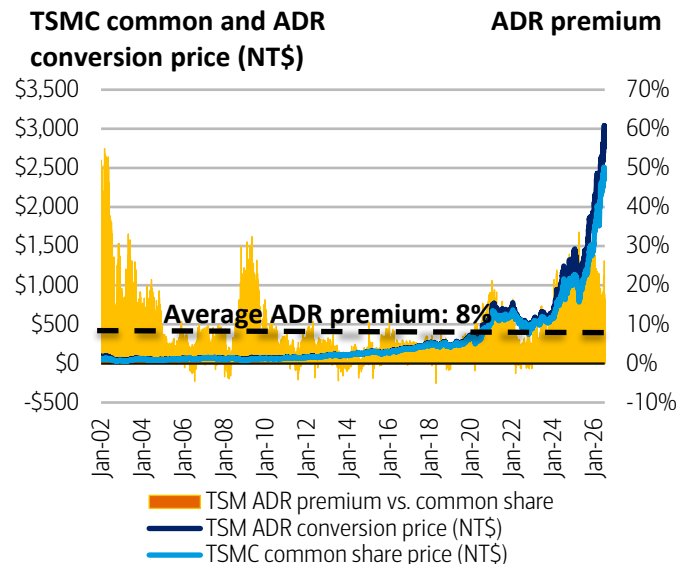


Source: BofA Global Research, Bloomberg

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Exhibit 17: TSM ADR conversion price vs. common share and premium

TSM ADR premium is higher than common historical level at 15%



Source: BofA Global Research, Bloomberg

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Exhibit 18: TSMC's quarterly and annual income statement

TSMC's quarterly and annual income statement

(NT\$bn, %)	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Revenues	\$1,134	\$1,270	\$1,447	\$1,625	\$1,713	\$1,816	\$2,007	\$2,088	\$3,809	\$5,477	\$7,625	\$8,920
Cost of Sales	-\$383	-\$410	-\$486	-\$544	-\$552	-\$603	-\$657	-\$706	-\$1,528	-\$1,823	-\$2,518	-\$2,930
Gross Profit	\$751	\$860	\$962	\$1,081	\$1,161	\$1,214	\$1,350	\$1,382	\$2,281	\$3,655	\$5,107	\$5,990
Operating Expenses	-\$92	-\$94	-\$107	-\$110	-\$114	-\$120	-\$131	-\$137	-\$345	-\$403	-\$502	-\$567
Operating Income	\$659	\$767	\$855	\$971	\$1,047	\$1,094	\$1,219	\$1,245	\$1,936	\$3,252	\$4,605	\$5,423
Non-operating Income (Exp)	\$29	\$96	\$33	\$38	\$41	\$43	\$47	\$51	\$106	\$195	\$182	\$263
Pretax Income	\$688	\$862	\$888	\$1,009	\$1,088	\$1,137	\$1,266	\$1,296	\$2,042	\$3,447	\$4,787	\$5,687
Net tax	-\$115	-\$156	-\$149	-\$169	-\$182	-\$205	-\$213	-\$218	-\$326	-\$589	-\$817	-\$971
Net Income	\$573	\$707	\$738	\$839	\$906	\$931	\$1,054	\$1,078	\$1,718	\$2,858	\$3,972	\$4,719
Fully Diluted EPS - Local (NT\$)	\$22.08	\$27.25	\$28.50	\$32.39	\$34.96	\$35.94	\$40.66	\$41.61	\$66.24	\$110.20	\$153.17	\$181.96
% of Revenue												
Gross Profit	66.2	67.7	66.4	66.5	67.8	66.8	67.3	66.2	59.9	66.7	67.0	67.2
Operating Expenses	-8.1	-7.4	-7.4	-6.8	-6.7	-6.6	-6.5	-6.6	-9.1	-7.4	-6.6	-6.4
Operating Income	58.1	60.3	59.1	59.8	61.1	60.2	60.8	59.6	50.8	59.4	60.4	60.8
Pretax Income	60.6	67.9	61.3	62.1	63.5	62.6	63.1	62.1	53.6	62.9	62.8	63.8
Net Income	50.5	55.6	51.0	51.6	52.9	51.3	52.5	51.6	45.1	52.2	52.1	52.9
QoQ Growth %												
Revenues	8.4	12.0	13.9	12.3	5.4	6.0	10.5	4.0				
Gross Profit	15.2	14.5	11.8	12.4	7.4	4.5	11.2	2.4				
Operating Income	16.7	16.3	11.5	13.6	7.8	4.5	11.5	2.1				
Net Income	13.3	23.4	4.5	13.7	7.9	2.8	13.1	2.3				
YoY Growth %												
Revenues	35.1	36.0	46.2	55.4	51.1	43.0	38.7	28.5	31.6	43.8	39.2	17.0
Gross Profit	52.3	57.2	63.4	65.8	54.5	41.1	40.4	27.8	40.4	60.2	39.7	17.3
Operating Income	61.9	65.4	70.7	71.9	58.9	42.7	42.7	28.2	46.4	67.9	41.6	17.8
Net Income	58.8	77.8	63.5	66.1	58.2	31.8	42.7	28.5	46.4	66.4	39.0	18.8
EPS	58.3	77.4	63.4	66.1	58.4	31.9	42.7	28.5	46.4	66.4	39.0	18.8

Source: Company data, BofA Global Research

BofA GLOBAL RESEARCH

Exhibit 19: TSMC's quarterly and annual balance sheet

TSMC's quarterly and annual balance sheet

(NT\$bn)	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Cash	\$3,036	\$3,134	\$3,737	\$4,046	\$4,270	\$4,635	\$5,148	\$5,843	\$2,768	\$4,046	\$5,843	\$8,491
Short Term Investment	\$348	\$384	\$366	\$375	\$370	\$373	\$371	\$372	\$301	\$375	\$372	\$372
Accounts receivable	\$363	\$441	\$351	\$337	\$424	\$435	\$464	\$421	\$282	\$337	\$421	\$445
Inventory	\$311	\$386	\$364	\$358	\$424	\$451	\$489	\$476	\$288	\$358	\$476	\$539
Other current assets	\$207	\$221	\$157	\$171	\$187	\$189	\$185	\$178	\$179	\$171	\$178	\$182
Current Assets	\$4,266	\$4,566	\$4,975	\$5,286	\$5,675	\$6,083	\$6,658	\$7,289	\$3,817	\$5,286	\$7,289	\$10,029
Long Term Investments	\$167	\$169	\$168	\$169	\$168	\$169	\$168	\$169	\$172	\$169	\$169	\$169
Fixed Assets	\$3,955	\$4,303	\$4,610	\$5,058	\$5,455	\$5,851	\$6,232	\$6,596	\$3,692	\$5,058	\$6,596	\$8,001
Other Assets	\$274	\$338	\$283	\$287	\$295	\$301	\$292	\$294	\$252	\$287	\$294	\$295
Long-term Assets	\$4,395	\$4,810	\$5,061	\$5,514	\$5,919	\$6,321	\$6,692	\$7,058	\$4,116	\$5,514	\$7,058	\$8,464
Total Assets	\$8,661	\$9,376	\$10,036	\$10,800	\$11,594	\$12,403	\$13,351	\$14,347	\$7,933	\$10,800	\$14,347	\$18,493
Short term loans	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Notes & Accounts Payable	\$100	\$111	\$96	\$103	\$122	\$132	\$141	\$142	\$84	\$103	\$142	\$171
Current portion of long term debt	\$156	\$167	\$134	\$149	\$152	\$150	\$146	\$149	\$137	\$149	\$149	\$149
Other current Liabilities	\$1,458	\$1,580	\$1,580	\$1,580	\$1,596	\$1,596	\$1,596	\$1,596	\$1,237	\$1,580	\$1,596	\$1,611
Current Liabilities	\$1,714	\$1,858	\$1,810	\$1,831	\$1,869	\$1,878	\$1,883	\$1,887	\$1,458	\$1,831	\$1,887	\$1,932
Long term debt	\$901	\$856	\$894	\$887	\$885	\$880	\$886	\$885	\$896	\$887	\$885	\$884
Other non-current liabilities	\$113	\$187	\$136	\$180	\$154	\$164	\$159	\$214	\$118	\$180	\$214	\$242
Long-term Liabilities	\$1,014	\$1,043	\$1,030	\$1,067	\$1,039	\$1,045	\$1,045	\$1,098	\$1,014	\$1,067	\$1,098	\$1,126
Total Liabilities	\$2,729	\$2,901	\$2,840	\$2,898	\$2,907	\$2,923	\$2,928	\$2,985	\$2,472	\$2,898	\$2,985	\$3,058
Total parent shareholders' equity	\$5,891	\$6,433	\$7,156	\$7,861	\$8,645	\$9,439	\$10,381	\$11,320	\$5,420	\$7,861	\$11,320	\$15,394
Minority Interest	\$41	\$42	\$40	\$41	\$41	\$41	\$41	\$41	\$41	\$41	\$41	\$41
Total Liabilities and Equity	\$8,661	\$9,376	\$10,036	\$10,800	\$11,594	\$12,403	\$13,351	\$14,347	\$7,933	\$10,800	\$14,347	\$18,493

Source: Company data, BofA Global Research

BofA GLOBAL RESEARCH

Exhibit 20: TSMC's quarterly and annual cash flow

TSMC's quarterly and annual cash flow

(NT\$bn)	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Net Profit	\$572	\$707	\$739	\$840	\$907	\$932	\$1,054	\$1,079	\$1,718	\$2,858	\$3,972	\$4,719
Depreciation & Amortization	\$165	\$199	\$233	\$235	\$242	\$253	\$263	\$295	\$688	\$832	\$1,054	\$1,180
Change in Working Capital	-\$118	-\$155	\$161	\$14	-\$151	-\$30	-\$54	\$65	-\$72	-\$98	-\$170	-\$63
Other adjustment	\$79	\$33	\$18	\$25	\$12	\$6	\$20	\$40	-\$59	\$155	\$77	\$95
Operating Cash Flow	\$699	\$783	\$1,150	\$1,114	\$1,010	\$1,160	\$1,284	\$1,479	\$2,275	\$3,746	\$4,934	\$5,931
Capital Expenditure	-\$351	-\$496	-\$497	-\$644	-\$628	-\$628	-\$628	-\$628	-\$1,272	-\$1,988	-\$2,512	-\$2,662
Proceeds from sale of non-current assets	\$2	\$0	\$1	\$1	\$1	\$1	\$1	\$1	\$1	\$3	\$3	\$3
Acquisitions/Disposals of investments	-\$30	-\$39	\$19	-\$10	\$5	-\$2	\$1	-\$1	-\$37	-\$59	\$3	\$0
Other investment items	\$22	\$42	\$54	-\$3	-\$9	-\$5	\$9	-\$2	\$164	\$115	-\$7	-\$1
Investing Cash Flow	-\$357	-\$493	-\$423	-\$656	-\$631	-\$635	-\$617	-\$630	-\$1,144	-\$1,929	-\$2,513	-\$2,660
Net Share issue/repurchase	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Dividends paid	-\$130	-\$156	-\$130	-\$156	-\$156	-\$156	-\$156	-\$156	-\$467	-\$571	-\$622	-\$622
Change in debt	\$14	-\$34	\$5	\$8	\$0	-\$5	\$2	\$1	\$43	-\$7	-\$2	-\$1
Other financing cash flow	-\$5	\$5	\$0	\$0	\$0	\$0	\$0	\$0	-\$17	\$0	\$0	\$0
Financing Cash Flow	-\$120	-\$185	-\$125	-\$148	-\$155	-\$161	-\$154	-\$154	-\$440	-\$578	-\$624	-\$623
Net Change in Cash	\$222	\$106	\$603	\$310	\$224	\$364	\$514	\$695	\$690	\$1,240	\$1,796	\$2,648
Exchange effect	\$46	-\$7	\$0	\$0	\$0	\$0	\$0	\$0	-\$50	\$38	\$0	\$0
Cash, Beginning of Year	\$2,768	\$3,036	\$3,134	\$3,737	\$4,046	\$4,270	\$4,635	\$5,148	\$2,128	\$2,768	\$4,046	\$5,843
Cash, End of Year	\$3,036	\$3,134	\$3,737	\$4,046	\$4,270	\$4,635	\$5,148	\$5,843	\$2,768	\$4,046	\$5,843	\$8,491

Source: Company data, BofA Global Research

BofA GLOBAL RESEARCH

Exhibit 21: Terms and definitions

Glossary of abbreviations/acronyms

Term	Definition
AI	Artificial Intelligence
AMD	Advanced Micro Devices
ASIC	Application Specific Integrated Circuit
CoPoS	Chip-on-Panel-on-Substrate
COUPE	Compact Universal Photonic Engine
CoWoS	Chip-on-Wafer-on-Substrate
CoWoS-L	Chip-on-Wafer-on-Substrate-Local Silicon Bridge
CPO	Co-Packaged Optics
CPU	Central Processing Unit
EMIB	Embedded Multi-die Interconnect Bridge
GPU	Graphic Processing Unit
HBM	High Bandwidth Memory
HPC	High-Performance Computing
PCB	Printed Circuit Board
PDK	Process design kit
SoIC	System on Integrated Chips
TPU	Tensor Processing Unit
VIS	Vanguard
WMCM	Wafer-level-multi-chip-module
WPM	Wafer per month

Source: BofA Global Research

BofA GLOBAL RESEARCH

Price objective basis & risk

Taiwan Semiconductor Manufacturing Co. (TSMWF / TSM)

Our PO for TSMC is NT\$3,100 per share (US\$590 per ADR), based on 20x 2027E P/E. TSMC's valuation has traded in the range of 10-26x PE from 2017. 20x is in the mid to high end of the historical range, above the average P/E of 18x. We think a PE above the average is justified given TSMC's enhanced industry position and mid-40% 5-year CAGR in AI should underpin a rerating

Downside risks to our price objective are: (1) greater-than-expected slowdown in global smartphone/consumer electronics demand, (2) Intel's potential insourcing strategy and ambitions in foundry service, (3) execution risks on advanced nodes, and (4) higher than expected tariffs.

Analyst Certification

I, Haas Liu, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY	Alchip	ALCPF	3661 TT	Haas Liu
	All Ring	XNQNF	6187 TT	Haas Liu
	AMEC	XRTOF	688012 CH	Dai Shen
	ASE Technology Holding	XSRIF	3711 TT	Haas Liu
	ASE Technology Holding -ADR	ASX	ASX US	Haas Liu
	ASMPT	ASMVF	522 HK	Simon Woo, CFA
	Aspeed	XLKMF	5274 TT	Mike Yang
	Chroma ATE	CRMJF	2360 TT	Haas Liu
	eMemory	XYLWF	3529 TT	Mike Yang



APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	GigaDevice	XGXIF	603986 CH	Daley Li, CFA
	Global Unichip Corp.	GBUHF	3443 TT	Haas Liu
	Grand Process Technology Corp	XZOWF	3131 TT	Haas Liu
	Hanmi Semiconductor	HNSIF	042700 KS	Simon Woo, CFA
	Hon Precision	XXPIF	7769 TT	Haas Liu
	Horizon Robotics	HRZRF	9660 HK	Daley Li, CFA
	Iluvatar CoreX	XSIBF	9903 HK	Daley Li, CFA
	Ingenic	XISCF	300223 CH	Dai Shen
	InnoScience Technology	XSCHF	2577 HK	Daley Li, CFA
	JCET Group Co Ltd	XJIEF	600584 CH	Dai Shen
	King Yuan Electronics Corp.	KYUFF	2449 TT	Haas Liu
	Kinik	KIKCF	1560 TT	Haas Liu
	MediaTek	MDTKF	2454 TT	Haas Liu
	Montage Technology	XRDF	688008 CH	Daley Li, CFA
	MPI Corporation	XMJCF	6223 TT	Mike Yang
	Nanya Technology	NNYAF	2408 TT	Simon Woo, CFA
	NCE Power	XVFFF	605111 CH	Daley Li, CFA
	OmniVision	XXHQF	603501 CH	Dai Shen
	Phison Electronics	PISNF	8299 TT	Simon Woo, CFA
	Powerchip Semiconductor Manufacturing Co	XCHPF	6770 TT	Haas Liu
	Powertech Technology	XPPZF	6239 TT	Simon Woo, CFA
	Rockchip	XRPXF	603893 CH	Daley Li, CFA
	Samsung C&T	XCDTF	028260 KS	Simon Woo, CFA
	Samsung Elec -G	SSNHZ	SMSN LI	Simon Woo, CFA
	Samsung Electronics	SSNLF	005930 KS	Simon Woo, CFA
	Samsung Electronics Preferred	SSNNF	005935 KS	Simon Woo, CFA
	Silergy Corp.	SLEGF	6415 TT	Mike Yang
	Silicon Motion	SIMO	SIMO US	Simon Woo, CFA
	SK Square	SKSQF	402340 KS	Simon Woo, CFA
	Taiwan Semiconductor Manufacturing Co.	TSM	TSM US	Haas Liu
	Taiwan Semiconductor Manufacturing Co.	TSMWF	2330 TT	Haas Liu
	Vanguard International Semiconductor Co	VGILF	5347 TT	Haas Liu
	Winbond Electronics	WBEKF	2344 TT	Dai Shen
	WinWay Technology	XWCLF	6515 TT	Mike Yang
	WT Microelectronics	XZOPF	3036 TT	Mike Yang

NEUTRAL

	ASMedia Technology Inc.	XZSFF	5269 TT	Mike Yang
	Black Sesame Intl Holding	BSIHF	2533 HK	Daley Li, CFA
	Hangzhou Silan Microelectronics	XDFRF	600460 CH	Daley Li, CFA
	Lion Electronics	XDHFF	605358 CH	Dai Shen
	LX Semicon	XLXSF	108320 KS	Simon Woo, CFA
	MetaX	XMEZF	688802 CH	Daley Li, CFA
	Novatek	NVKMF	3034 TT	Haas Liu
	Realtek	RLTKF	2379 TT	Mike Yang
	Shenzhen Goodix	XQPLF	603160 CH	Daley Li, CFA

UNDERPERFORM

	Crystal Clear	XPPTF	300655 CH	Dai Shen
	Faraday	FDYTF	3035 TT	Haas Liu
	GlobalWafers	XWLFF	6488 TT	Mike Yang
	Hua Hong Semi	HHUSF	1347 HK	Dai Shen
	M31 Technology	XMTZF	6643 TT	Mike Yang
	Macronix International	MXICF	2337 TT	Dai Shen
	Maxscend	MXSXF	300782 CH	Daley Li, CFA
	Parade	PRDWF	4966 TT	Mike Yang
	Soulbrain	XSBOF	357780 KS	Simon Woo, CFA
	United Microelectronics Corp.	XUMIF	2303 TT	Haas Liu
	United Microelectronics Corp.	UMC	UMC US	Haas Liu
	VeriSilicon	XMLZF	688521 CH	Daley Li, CFA
	Win Semiconductors	WSMIF	3105 TT	Haas Liu
	Wonik IPS	XRHQF	240810 KS	Simon Woo, CFA

RSTR

	SK Hynix	HXSCF	000660 KS	Simon Woo, CFA
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iQmethodSM Measures Definitions

Business Performance

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

EV / EBITDA

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

Basic EBIT + Depreciation + Amortization

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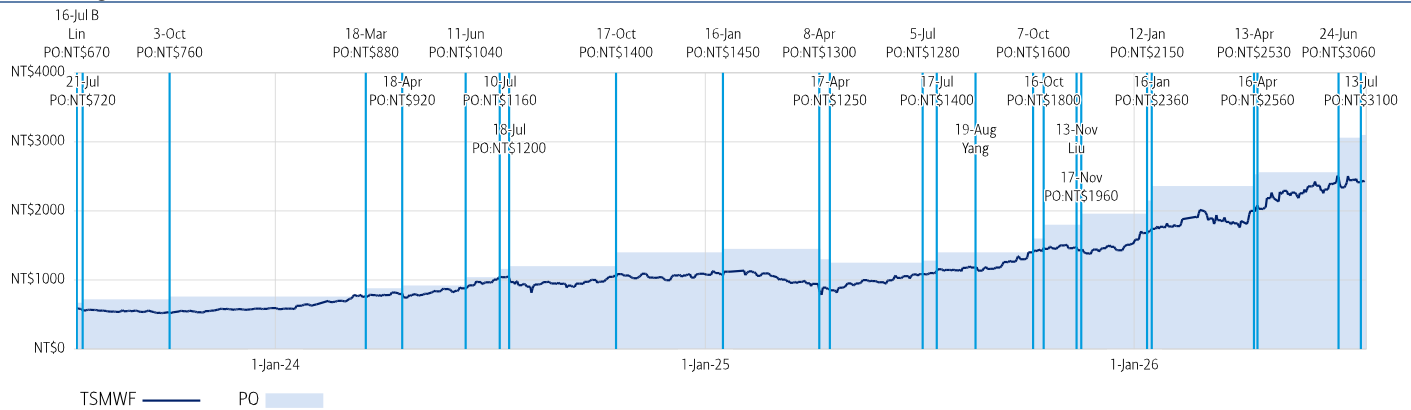
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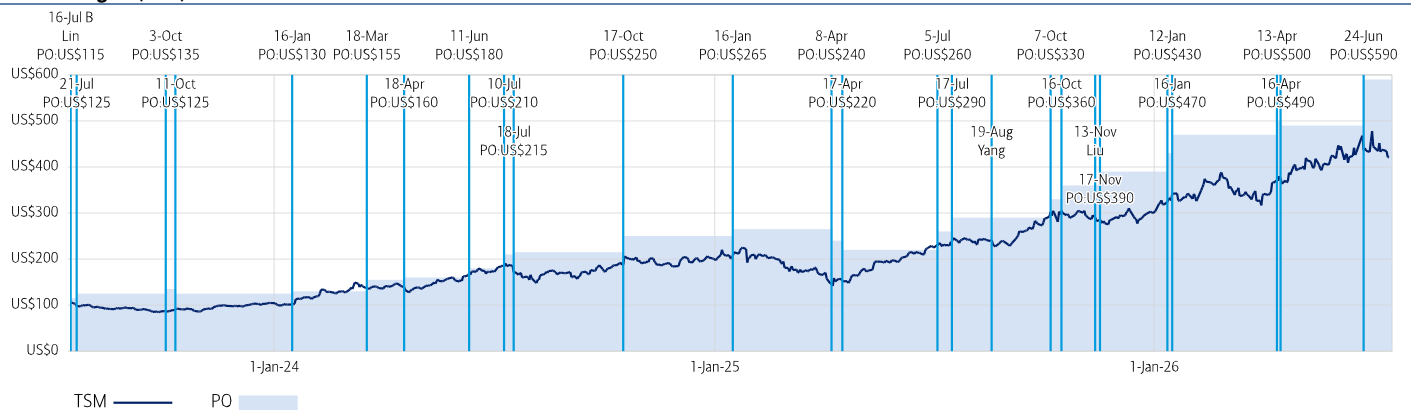
Taiwan Semi Mfg Co (TSMWF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Taiwan Semi Mfg Co (TSM) Price Chart



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Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

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